

Allegion plc

Recommendation **BUY** ★★★★★

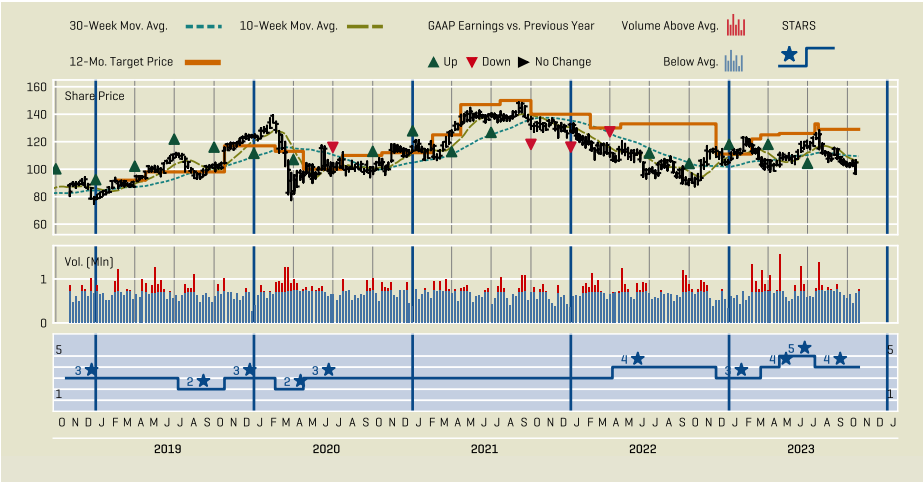
Price USD 97.43 [as of market close Oct 27, 2023] 12-Mo. Target Price USD 129.00 Report Currency USD Investment Style Mid-Cap Growth

Equity Analyst **Emily Nasseff Mitsch**

GICS Sector Industrials Sub-Industry Building Products Summary Allegion plc (ALLE) is a global provider of mechanical and electrical security products and services. The firm is headquartered in Dublin, Ireland.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)									
52-Wk Range	USD 128.36 - 95.94	Oper.EPS2023E	USD 6.74	Market Capitalization[B]	USD 8.55	Beta			1.12
Trailing 12-Month EPS	USD 6.58	Oper.EPS2024E	USD 7.16	Yield [%]	1.85	3-yr Proj. EPS CAGR[%]			11
Trailing 12-Month P/E	14.81	P/E on Oper.EPS2023E	14.46	Dividend Rate/Share	USD 1.8	SPGMI's Quality Ranking			B+
USD 10K Invested 5 Yrs Ago	12,560.0	Common Shares Outstg.[M]	88.00	Trailing 12-Month Dividend	USD 1.76	Institutional Ownership [%]			99.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Emily Nasseff Mitsch** on Jul 31, 2023 08:43 AM ET, when the stock traded at **USD 114.99**.

Highlights		Investment Rationale/Risk	
► Q2 sales increased 18% Y/Y (6% organically) on positive price realization and strong growth in electronics (both residential and nonresidential), partially offset by lower volumes in the mechanical portfolio. We think ALLE will see continued strong demand in its electronics business in both residential and nonresidential, with resilience in nonresidential coming from health care and education, and expect ALLE's mechanical portfolio to show continued weakness. We also believe the worst of the residential headwinds are over, with new housing starts increasing Y/Y in May, the first Y/Y increase since April 2022. We see 2023 and 2024 sales rising 12.5% and 3%, respectively. ► Q2 adjusted EBIT margin expanded 230 bps Y/Y on strong pricing and positive productivity net of inflation and investments. We see EBIT margin expanding in 2023 with high volumes and strong pricing. We forecast 2023 and 2024 EBIT margin to expand 192 bps and 80 bps, respectively. ► We forecast 2023 and 2024 EPS to rise 18% and 6%, respectively. We estimate share buybacks of about 1.3M shares in 2023 and 1M in 2024, and note that ALLE has a steady dividend of 1.4% to our 12-month target.		► Our Buy rating is driven by favorable nonresidential construction trends in '23 that will prioritize security upgrades, coupled with our valuation. Nonresidential construction is expected to grow 8% in '23 and this market accounts for about 70% of ALLE's sales. We think ALLE will capitalize on updates and renovations in the health care and education (K-12 & higher education) industries given an increased focus on safety and security, and a new focus on touchless solutions to promote a healthy environment after the Covid-19 pandemic. We also believe residential security systems will be a strong driver of sales. ► Risks include supply chain disruptions, an unexpected downturn in budgets for security upgrades, and risks associated with ALLE's outstanding and future indebtedness. ► Our 12-month target is \$129 on a forward P/E of 18x our '24 EPS view, above the one-year average of 17.3x on strong nonresidential demand and our view of stronger-than-expected residential demand. We note ALLE has higher debt levels than peers, with net debt/EBITDA of 2.2x (peer average: 1.7x), but don't think debt levels will be problematic as we forecast FCF to rise about 40% in 2023 on strong organic growth and synergies.	

Analyst's Risk Assessment

LOW MEDIUM HIGH

ALLE faces risk from the cyclical and competitive nature of the security products business; however, we think the firm has a comfortable position among its competitors given its strong portfolio of brands, including Schlage and Von Duprin. We acknowledge the favorable short- and long-term drivers for ALLE, including the convergence of mechanical and electronic security products, urbanization, and the adoption of new technologies at the commercial and residential level.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 891	E 967	E 1,023	E 909	E 3,790
2023	923	912	E 935	E 909	E 3,680
2022	724	773	914	861	3,271
2021	694	747	717	709	2,867
2020	675	590	728	727	2,720
2019	655	731	748	720	2,854

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 1.52	E 1.87	E 2.05	E 1.71	E 7.16
2023	1.58	1.76	E 1.85	E 1.56	E 6.74
2022	1.07	1.37	1.64	1.60	5.69
2021	1.20	1.32	1.56	1.11	5.19
2020	1.04	0.92	1.67	1.49	5.11
2019	0.88	1.26	1.47	1.28	4.89

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount (USD)	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.4500	Sep 07	Sep 15	Sep 18	Sep 29 '23
0.4500	Apr 13	Jun 14	Jun 15	Jun 30 '23
0.4500	Feb 09	Mar 14	Mar 15	Mar 31 '23
0.4100	Dec 01	Dec 15	Dec 16	Dec 30 '22

Dividends have been paid since 2014 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Allegion plc

Business Summary Jul 31, 2023

CORPORATE OVERVIEW. Allegion plc [ALLE] was spun off from Ingersoll Rand in December 2013. The company is one of the world’s largest security products and solutions providers. ALLE’s products are offered to end-users in commercial, institutional, and residential facilities worldwide, including education, health care, government, commercial office and single- and multi-family residential markets. The company’s 10 largest customers accounted for 26% of revenues in 2022. ALLE is organized in two segments: Allegion Americas [78% of 2022 sales] and Allegion International [22%].

ALLE’s primary product lines include: locks, locksets, portable locks, and key systems; door closers, controls, and exit devices; electronic security products and access control systems; time, attendance, and workforce productivity systems; doors and door systems; and other accessories. ALLE’s primary brand names are Schlage, Von Duprin, LCN, CISA, SimonsVoss, and Interflex. ALLE thinks LCN, Schlage, and Von Duprin hold the number one position in its primary product categories in North America and CISA, Interflex, and SimonVoss hold the number one or number two position in their primary product categories in certain European markets.

We note that most of ALLE’s exposure is in nonresidential markets [70% of sales versus 30% residential]. As of December 2022, the American Institute of Architect’s consensus non-residential construction forecast for 2023 and 2024 are +6% and +1%, respectively. It’s worth noting that ALLE is split 50/50 between new construction and aftermarket sales. Despite uncertainty regarding inflation, we believe the outlook for nonresidential construction will stay moderately strong in 2023.

ALLE sells most of its products and solutions through distribution and retail channels, ranging from specialty distribution to wholesalers. The company has built a network of channel partners that help its customers choose the right solution to meet their security needs and help commercial and institutional end-users fulfill and install orders. ALLE also sells through a variety of retail channels, ranging from large do-it-yourself home improvement centers and e-commerce platforms, to small, specialty showroom outlets. ALLE works with its retail partners on developing marketing and merchandising strategies to maximize sales per square foot of shelf space. Through its Interflex business and Global Portable Security brands, ALLE also provides products and solutions directly to end-users.

As of December 31, 2022, ALLE operated 29 production and assembly facilities, including 16 in the Americas segment and 13 in its International segment. ALLE owns 16 of these facilities and leases the others. Much of the company’s U.S.-based residential portfolio is manufactured in the Baja Region of Mexico under the Maquiladora, Manufacturing and Export Services Industry [IMMEX] program.

MARKET PROFILE. The global markets that ALLE serves encompass commercial, institutional, and residential construction markets throughout North America, Europe, the Middle East, and Asia-Pacific. In recent years, growth in electronic security products and solutions [30% of ALLE’s business versus 70% mechanical] has outperformed the industry as a whole, as end-users adopt newer technologies in their facilities. ALLE will likely benefit from favorable long-term demographic trends such as continued urbanization of the global population, increased concerns about safety and security, and technology-driven innovation.

Security products markets are highly competitive and fragmented throughout the world, with a number of large multinational companies and thousands of smaller regional and local companies. This high fragmentation primarily reflects local regulatory requirements and highly variable end-user needs. ALLE’s principal global competitors are Assa Abloy AB and dorma+kaba Group. ALLE also faces competition in various markets and product categories throughout the world, including from Spectrum Brands Holdings, Inc. in the North American residential market. As ALLE moves into more technologically-advanced product categories, the company may also compete against new, more specialized competitors.

FINANCIAL TRENDS. ALLE’s sales increased 14% in 2022 from 2021, driven by strong price realization across all regions, the Access Technologies acquisition [inorganic], and volume growth in Americas nonresidential, partially offset by pressure on residential in the Americas segment and International volume. In 2022, ALLE’s adjusted operating margin expanded 70 bps to 19.5%, driven by price and productivity exceeding inflation and favorable mix, partially offset by the dilutive impact of the Access Technologies acquisitions and unfavorable FX translation. Going forward, we still see room for revenue growth and margin expansion as megatrends surrounding market demand for electronics, conversational platforms, and IoT remain long-term objectives.

ALLE’s balance sheet appears manageable in the near term. As of June 30, 2023, the company’s current assets were 1.9x its current liabilities, reflecting a solid liquidity position given that ALLE’s current assets are heavily weighted in cash and accounts receivable. That said, the firm’s net debt to EBITDA ratio was 2.2x, above both its historical average of roughly 2.0x and the peer average of 1.7x. Despite 66% of total capital comprised of debt [as of June 30, 2023], ALLE does not have debt maturing until 2024.

Corporate information

Investor contact

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N/A

Website

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Officers

Senior VP & CTO

V. M. Wenos

Independent Chairman

K. S. Hachigian

Senior VP & CFO

M. J. Wagnes

President, CEO & Director

J. H. Stone

VP, Controller & Chief Accounting Officer

N. A. Musial

Senior VP & General Counsel

J. N. Braun

Board Members

D. I. Schaffer

L. B. Peters

D. Vardhan

M. E. Welch

E. Rubin

N. P. Haughey

J. H. Stone

S. C. Mizell

K. S. Hachigian

S. L. Main

Domicile

Ireland

Auditor

PricewaterhouseCoopers LLP

Founded

2013

Employees

12,300

Stockholders

2,054



Allegion plc

Quantitative Evaluations						Expanded Ratio Analysis					
Fair Value Rank	1	2	3	4	5		2022	2021	2020	2019	
	LOWEST		HIGHEST				Price/Sales	2.84	4.18	3.97	4.11
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued (1) to most undervalued (5).					Price/EBITDA	13.06	19.54	17.56	18.45	
Fair Value Calculation	USD	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that ALLE is overvalued by USD 29.13 or 29.90%				Price/Pretax Income	18.07	22.87	29.56	24.71	
	68.30					P/E Ratio	18.50	25.52	22.77	25.47	
					Avg. Diluted Shares Outstg. [M]	88.30	90.50	92.80	94.30		
						Figures based on fiscal year-end price					
Volatility	LOW		AVERAGE		HIGH	Key Growth Rates and Averages					
Technical Evaluation	NEUTRAL	Since August, 2023, the technical indicators for ALLE have been NEUTRAL"				Past Growth Rate [%]					
Insider Activity	UNFAVORABLE	NEUTRAL		FAVORABLE		1 Year					
					3 Years						
					5 Years						
						Ratio Analysis (Annual Avg.)					
						Net Margin [%]					
						% LT Debt to Capitalization					
						Return on Equity [%]					

Company Financials Fiscal year ending Dec 31										
Per Share Data (USD)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	-12.30	-5.58	-5.23	-6.76	-8.23	-7.93	-10.09	-11.05	-6.41	-7.47
Free Cash Flow	4.49	4.93	4.80	4.51	4.30	3.13	3.50	2.31	2.13	2.12
Earnings	5.19	5.34	3.39	4.26	4.54	2.85	2.36	1.59	1.92	0.37
Earnings (Normalized)	5.69	5.19	5.11	4.89	4.50	3.96	3.34	3.03	2.49	2.13
Dividends	1.64	1.44	1.28	1.08	0.84	0.64	0.48	0.40	0.32	N/A
Payout Ratio (%)	31.42	26.71	37.32	25.04	18.26	22.28	20.08	24.89	17.12	NM
Prices: High	133.52	148.70	139.24	125.75	94.30	89.81	73.49	68.08	58.29	50.00
Prices: Low	87.33	106.52	77.37	78.31	73.85	63.81	52.95	52.33	42.16	40.24
P/E Ratio: High	23.50	28.70	27.20	25.70	21.00	22.70	22.00	22.50	23.40	23.50
P/E Ratio: Low	15.30	20.50	15.10	16.00	16.40	16.10	15.90	17.30	16.90	18.90
Income Statement Analysis (Million USD)										
Revenue	3,272	2,867	2,720	2,854	2,732	2,408	2,238	2,068	2,118	2,070
Operating Income	626.00	542.00	548.00	568.00	544.00	493.00	426.00	396.00	367.00	384.00
Depreciation + Amortization	86.00	72.00	68.00	68.00	71.00	53.00	50.00	39.00	36.00	34.00
Interest Expense	76.00	50.00	51.00	56.00	54.00	106.00	64.00	53.00	54.00	10.00
Pretax Income	514.00	524.00	365.00	475.00	475.00	396.00	295.00	209.00	268.00	223.00
Effective Tax Rate	10.90	7.80	13.90	15.40	8.40	30.10	21.60	26.10	31.40	78.30
Net Income	458.00	483.00	314.00	402.00	435.00	273.00	229.00	154.00	175.00	32.00
Net Income (Normalized)	345.10	310.00	308.90	321.60	305.80	238.90	227.30	213.70	195.30	220.60
Balance Sheet and Other Financial Data (Million USD)										
Cash	288.00	398.00	480.00	355.00	284.00	466.00	312.00	200.00	290.00	227.00
Current Assets	1,215	1,118	1,145	1,002	932.00	1,033	829.00	735.00	1,002	947.00
Total Assets	3,991	3,051	3,069	2,967	2,810	2,542	2,247	2,263	2,016	2,001
Current Liabilities	704.00	601.00	522.00	507.00	521.00	461.00	430.00	447.00	532.00	490.00
Long Term Debt	2,082	1,430	1,429	1,428	1,410	1,442	1,416	1,459	1,215	1,272
Total Capital	3,140	2,297	2,356	2,270	2,099	1,883	1,581	1,554	1,284	1,309
Capital Expenditures	64.00	45.00	47.00	66.00	49.00	49.00	42.00	35.00	52.00	20.00
Cash from Operations	460.00	489.00	490.00	488.00	458.00	347.00	378.00	257.00	256.00	224.00
Current Ratio	1.73	1.86	2.20	1.98	1.79	2.24	1.93	1.64	1.88	1.93
% Long Term Debt of Capitalization	66.30	62.20	60.70	62.90	67.20	76.60	89.60	93.90	94.60	97.20
% Net Income of Revenue	14.00	16.80	11.60	14.10	15.90	11.30	10.20	7.40	8.30	1.60
% Return on Assets	11.12	11.06	11.34	12.29	12.69	12.86	11.79	11.56	11.41	12.05
% Return on Equity	53.70	60.60	39.50	56.90	82.20	106.00	316.50	641.90	NM	7.30

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Allegion plc

Sub-Industry Outlook

We have a neutral outlook for the building products sub-industry over the next 12 months. The residential housing market is seeing lower volume and demand due to high interest/mortgage rates, and we expect this to continue through 2023, but improve in 2024 with expected rate cuts. In addition, we expect repair & remodeling [R&R] activity to decrease primarily due to a decrease in existing home sales. Yet, we have a positive long-term outlook on the residential and R&R markets given the average age of U.S. housing stock and historically low housing supply relative to demand levels. We see positive offset from higher demand for clean energy products due to the government's carbon reduction incentives, and a rise in nonresidential construction spending.

New home construction is a key factor for future growth in residential building products. We believe high interest/mortgage rates will have a negative impact on new home building in 2023 [average 30-year mortgage rates are now at a high of 7% as of August 2023], but have a positive medium-to long-term view as housing inventory remains historically low relative to demand levels. As of July 2023, housing starts have increased 6% since July 2022, but are still very low relative to historical levels. Also, Fannie Mae forecasts housing starts to decline by 9% in 2023. Although we think the worst of residential is most likely over, we believe the rest of 2023 will still show Y/Y weakness, but expect modest growth in 2024 with expected rate cuts.

We expect R&R spending to be a negative as homeowners delay R&R due to declining home sales, high interest rates, and higher costs of contractor labor. Existing home sales have declined 17% in the last year and are expected to decline by a total of 13.6% in 2023. Despite the drastic Y/Y rise in home prices, which allows homeowners more access to capital through home equity loans/lines of credit, we think homeowners will delay R&R. The Leading Indicator of Remodeling Activity, which projects the Y/Y change in homeowner improvements and repairs

on a four-quarter moving basis, projects spending to fall from a reported 9.5% in Q2 to an estimated -5.9% by Q2 2024. That said, we have a bullish long-term outlook for R&R due to the average age of U.S. housing stock, with homes in need of home improvements/remodeling.

We expect government incentives for cleaner energy in homes and buildings to be an important positive driver in the building products industry in 2023 and 2024. Major tax credit incentives for home HVAC and rooftop solar were included in the energy and climate related sections of the Inflation Reduction Act of 2022. There are billions in incentives for commercial building energy and HVAC systems to be decarbonized and we believe this will benefit companies focused on clean energy and sustainability.

Nonresidential construction spending is also a positive driver we foresee in 2023 and 2024. Manufacturing, health care, and education construction spending have been the main growth drivers in 2023, [+71%, +11%, and +10%, respectively, since one year ago] and are forecasted to increase mid-single digits in 2024. Additionally, according to the AIA's most recent report in July 2023, ABI for commercial/industrial rose to 52.7, the highest it's been since June 2022 and institutional remained above 50 [positive] at 51.2.

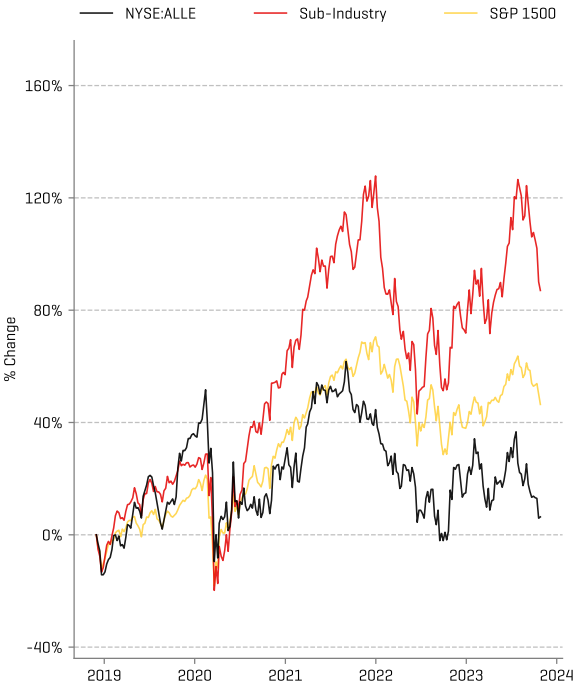
YTD through September 7, 2023, the S&P 1500 Building Products index is +27%, outperforming the S&P 1500 Industrial index [+10%] and the S&P 1500 [+15%].

/ Emily Nasseff Mitsch

Industry Performance

GICS Sector: Industrials
Sub-Industry: Building Products

Based on S&P 1500 Indexes
Five-Year market price performance through Oct 28, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard [GICS].
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Building Products Peer Group*: Building Products												
Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
Allegion plc	ALLE	NYSE	USD	97.25	8,537.0	-4.7	-0.1	15.0	68.30	1.9	53.7	61.1
A. O. Smith Corporation	AOS	NYSE	USD	69.12	10,402.0	5.6	33.0	20.0	N/A	1.9	14.9	9.2
Advanced Drainage Systems, Inc.	WMS	NYSE	USD	104.18	8,198.0	-8.2	-15.5	17.0	N/A	0.5	50.4	55.5
Carlisle Companies Incorporated	CSL	NYSE	USD	237.43	11,823.0	-6.3	-15.1	14.0	237.37	1.4	26.3	40.6
Fortune Brands Innovations, Inc.	FBIN	NYSE	USD	55.91	7,094.0	-9.3	-4.6	14.0	57.21	1.6	17.2	56.0
Masco Corporation	MAS	NYSE	USD	51.53	11,590.0	-2.1	13.1	14.0	N/A	2.2	-710.8	85.7
Owens Corning	OC	NYSE	USD	113.86	10,119.0	-15.0	33.7	9.0	138.50	1.8	24.1	34.4
Simpson Manufacturing Co., Inc.	SSD	NYSE	USD	128.56	5,486.0	-12.2	54.4	15.0	N/A	0.8	23.7	23.6
Trex Company, Inc.	TREX	NYSE	USD	54.97	5,968.0	-13.6	17.4	38.0	49.60	N/A	22.6	N/A
UFP Industries, Inc.	UFPI	NasdaqGS	USD	94.63	5,854.0	-5.9	35.0	10.0	N/A	1.3	22.5	8.5
Zurn Elkay Water Solutions Corporation	ZWS	NYSE	USD	26.03	4,502.0	-5.9	16.5	100.0	N/A	1.2	5.1	24.1

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Allegion plc

Analyst Research Notes and other Company News

July 26, 2023

01:01 PM ET... CFRA Reiterates Buy Opinion on Shares of Allegion plc [ALLE 117.37****]:

We lower our 12-month target by \$4 to \$129 using a forward P/E of 18x our 2024 EPS estimate, above the one-year average of 17.3x on strong nonresidential demand and our view of stronger-than-expected residential demand due to strength in electronics markets. We lower our 2023 EPS view by \$0.03 to \$6.74 and 2024's by \$0.12 to \$7.16. Q2 sales rose 18% Y/Y [6% organically] on positive price realization and strong growth in electronics [both residential and nonresidential], partially offset by lower volumes in the mechanical portfolio. Adjusted operating margin grew 230 bps Y/Y. Q2 EPS were \$1.76, beating consensus by \$0.05. We think ALLE will see continued strong demand in its electronics business in both residential and nonresidential, with resilience in nonresidential coming from health care and education, and expect ALLE's mechanical portfolio to show continued weakness. We note ALLE increased FCF by 125% Y/Y and was able to pay down \$60M in revolving credit debt, as well as repurchase 200K shares. / Emily Nasseff Mitsch

July 18, 2023

11:48 AM ET... CFRA Lowers Rating on Shares of Allegion plc to Buy from Strong Buy [ALLE 124.94****]:

We raise our 12-month price target by \$7 to \$133 using a forward P/E of 18.3x our 2024 EPS estimate, below the three-year historical average of 21.4x, but above the one-year average of 17.3x on strong nonresidential demand, as well as our view of stronger-than-expected residential demand given the recent Y/Y increase [May] in new housing starts. We raise our 2023 EPS estimate by \$0.07 to \$6.77 and 2024's by the same amount to \$7.28. We believe the worst of the residential headwinds are most likely over and demand for ALLE's security products will be strong, even though ALLE has smaller exposure to residential markets [30%]. / Emily Nasseff Mitsch

April 27, 2023

12:11 AM ET... CFRA Upgrades Opinion on Shares of Allegion plc to Strong Buy from Buy [ALLE 107.42****]:

We raise our 12-month price target by \$1 to \$126 using a forward P/E of 17.5x our '24 EPS estimate, below the three-year average of 22x. We raise our '23 EPS estimate by \$0.07 to \$6.70 and lower '24's by \$0.12 to \$7.21. Q1 sales rose 28% Y/Y [15% organic, 13% from Access Tech acq.] on strong market demand and volume growth in Americas nonresidential and positive pricing across its portfolio, partially offset by weakness in the Americas residential mechanical business and some International markets. Despite softness in residential mechanical [key systems, locksets], ALLE saw volume growth in residential electronics [security systems]. Q1 EPS was \$1.58, beating consensus by \$0.23. We believe high growth in Q1 is largely attributed to the ongoing industry transformation to smart electronic hardware and updates to older systems. Backlog remains elevated and we think this will continue in '23 and into '24 with a push for upgrades in security amid safety concerns, and touchless solutions for a healthier environment. / Emily Nasseff Mitsch

March 15, 2023

01:09 PM ET... CFRA Upgrades Opinion on Shares of Allegion plc to Buy from Hold [ALLE 102.72****]:

We raise our 12-month target by \$3 to \$125 on our 2024 EPS estimate and a forward P/E of 17x, below the three-year historical average of 22x. We raise our 2023 EPS estimate by \$0.55 to \$6.63 and 2024's by \$0.60 to \$7.33. We upgrade our rating to a Buy as we think shares are undervalued by ~17%, according to our estimates. We also positively view ALLE's high exposure to nonresidential markets, such as the education, healthcare, and hospitality industries, given a push for upgrades in security amid safety and security concerns, as well as new attention on touchless solutions that help promote a healthy environment. We note ALLE has strong short-term liquidity, with cash and receivables fully covering current liabilities [ratio of 1x], but it has higher long-term debt [LTD] than peers with net debt to EBITDA of 2.5x, above the peer average of 1.4x. However, we do not think ALLE's LTD levels will be problematic for the company as we forecast FCF to increase ~44% in 2023, on strong organic growth and synergies. / Emily Nasseff Mitsch

February 22, 2023

10:13 AM ET... CFRA Keeps Hold Opinion on Shares of Allegion plc [ALLE 115.52***]:

We raise our 12-month target by \$11 to \$122 using our '24 EBITDA estimate and a forward EV/EBITDA multiple of 13.4x. We lower our '23 EPS estimate by \$0.27 to \$6.08 and '24's by \$0.16 to \$6.73. Q4 sales increased 21% Y/Y [11% organic], driven

by strong price realization and strong volume in Allegion Americas nonresidential, partially offset by weakness in the Allegion residential and Allegion International businesses. Q4 EPS were \$1.60, beating consensus by \$0.22. We think ALLE will face residential headwinds in '23 with a decline in new home starts and existing home sales amid rising interest and mortgage rates. That said, we think nonresidential will be a bright spot. We note ALLE has higher debt levels than peers with total debt/EBITDA of 3.1x, more than double the peer average of 1.5x, and just \$293M in undrawn revolving credit. We also think ALLE will prioritize using excess cash to pay down debt, versus bringing value to shareholders via share buybacks, to get debt levels closer to what they were in '21. / Emily Nasseff Mitsch

December 02, 2022

12:45 PM ET... CFRA Lowers Rating on Shares of Allegion plc to Hold from Buy [ALLE 114.34***]:

We cut our 12-month target price by \$22 to \$111, following solid results for 3Q22 and applying a P/E of 17.5x [one-year mean] to our 2023 EPS forecast of \$6.35, now \$0.29 lower and pulled forward from 2022. We also lower our EPS forecast for 2022 by \$0.17 to \$5.62, and we initiate 2024 at \$6.89. Management maintained guidance for 2022 for revenue at 3.26B [midpoint], implying 14% Y/Y growth and raised it for EPS by \$0.05 to \$5.45 [midpoint], implying 5% growth vs. 4% previously. Revenue of \$914m grew 27% Y/Y, 19% on an organic basis [i.e., not including the contribution from the Access Technologies acquisition] and beat consensus for the ninth quarter in a row by \$40m; adjusted EPS of \$1.64, up \$0.08 Y/Y, beat consensus for the twelfth quarter in a row by \$0.16. Management cited healthy/stable pricing being partially offset by demand/volume weakness, especially in its international markets, with some backlog enduring due to residual supply chain issues and a \$26m negative impact from FX. / CFRA Research

April 26, 2022

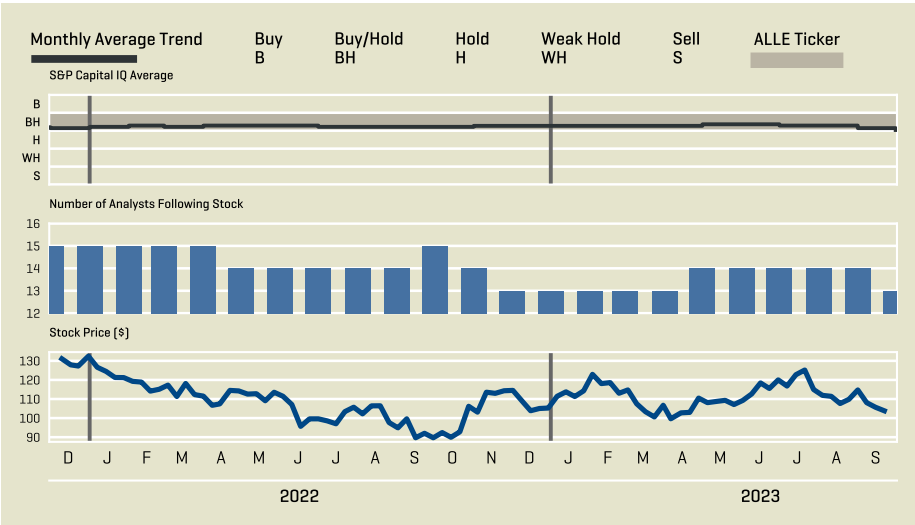
10:52 AM ET... CFRA Maintains Buy Opinion on Shares of Allegion plc [ALLE 115.37****]:

We lift our 12-month target price \$3 to \$133, applying an enterprise multiple of 17.5x to our 2022 EBITDA estimate, in line with ALLE's 3-year average multiple. We also raise our 2022 EPS estimate to \$5.79 from \$5.71 and keep our 2023 estimate at \$6.64. ALLE posts Q1 adj. EPS of \$1.07 vs. \$1.20 in the prior-year quarter, beating consensus by \$0.09. Sales of \$724 million were also better than expected, up 6% Y/Y on an organic basis, driven by improved price realization in both segments [total volume was flat]. The Americas segment [72% of sales, +6% Y/Y organic] continues to face volume pressure from supply constraints and component and electronics shortages. This and raw material inflation continue to weigh on ALLE's total adj. operating margin, which was down 240 bps Y/Y to 16.9% in Q1. However, we are optimistic that robust demand in non-residential markets, coupled with additional price increases [expected to exceed inflation in 2022], will drive higher sales growth and margin expansion, keeping us at Buy. / Richard Wolfe

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Allegion plc

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	3	23	4	5
Buy/Hold	2	15	2	2
Hold	7	54	7	6
Weak hold	1	8	1	1
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	13	100	14	14

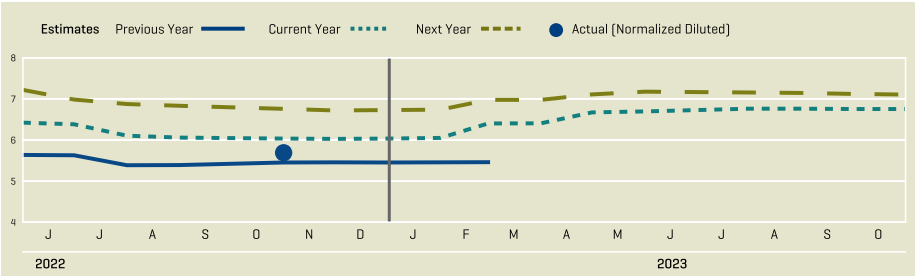
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that ALLE will earn USD 6.75. For fiscal year 2024, analysts estimate that ALLE's earnings per share will grow by 5.19% to USD 7.10.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	7.10	7.55	6.65	12	13.69
2023	6.75	6.80	6.70	12	14.40
2024 vs. 2023	▲ 5%	▲ 11%	▼ -1%	N/A%	▼ -5%
Q3'24	1.90	1.95	1.84	2	51.32
Q3'23	1.74	1.82	1.69	10	55.83
Q3'24 vs. Q3'23	▲ 9%	▲ 7%	▲ 9%	▼ -80%	▼ -8%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Allegion plc

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



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Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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